May/June 2025 Paper 02

Question 1

Barter was the main means of payment utilized in early economies.

1(a) Barter and money

(i) Define the term 'barter'. (1 mark); (ii) Outline ONE disadvantage of barter. (2 marks); (iii) State TWO characteristics of money. (2 marks)

(a)(i) Definition of barter

Barter is a system of exchange in which goods and services are traded directly for other goods and services without the use of money.

(a)(ii) ONE disadvantage of barter

A major disadvantage of barter is the need for a 'double coincidence of wants', where each trader must find another trader who not only has what they want, but also wants what they are offering in return. This makes trade slow and difficult, especially when one of the goods, such as a goat, cannot be easily divided into smaller amounts.

(a)(iii) TWO characteristics of money

- Money must be generally acceptable, meaning that everyone in the country is willing to take it in exchange for goods and services.
- Money must be durable and portable, so that it can be carried around easily and used many times without wearing out quickly.

1(b) The cheque

Figure 1 shows a diagram of a cheque (Sunshine Commercial Bank, No. 007, dated April 10, 2025, pay to the order of ABC Traders the sum of $6 000.00, signed Kimani Clarke). (i) Identify the drawer of the cheque in Figure 1. (1 mark); (ii) Identify the drawee of the cheque in Figure 1. (1 mark); (iii) List THREE instruments of payment, other than cheques, used in modern economies. (3 marks)

(b)(i) Drawer

The drawer of the cheque in Figure 1 is Kimani Clarke, the person who signed and issued the cheque to make a payment from his account.

(b)(ii) Drawee

The drawee of the cheque in Figure 1 is Sunshine Commercial Bank, the bank on which the cheque is drawn and which is ordered to pay out the funds.

(b)(iii) THREE other instruments of payment

- Debit cards, which allow money to be transferred directly from a customer's bank account to the seller at the point of sale.
- Credit cards, which allow customers to buy goods and services on credit and pay the credit card company at a later date.

- Electronic funds transfer (EFT) and online bank transfers, which allow money to be moved from one account to another using a computer or mobile phone.

1(c) Private/public sector and limited companies

Differentiate between EACH of the following pairs of terms: (i) Private sector and public sector (2 marks); (ii) Private limited companies and public limited companies (2 marks)

(c)(i) Private sector and public sector

The private sector is made up of businesses that are owned and run by private individuals or groups of individuals, with the main aim of making a profit. The public sector, on the other hand, is made up of organisations that are owned and run by the government on behalf of the citizens, with the main aim of providing essential goods and services rather than making a profit.

(c)(ii) Private limited companies and public limited companies

A private limited company is owned by a small number of shareholders, often from the same family or group of friends. Its shares are not sold on the stock exchange and cannot be transferred without the agreement of the other shareholders. A public limited company is owned by a much larger number of shareholders, and its shares are sold freely to the public on the stock exchange, so anyone with money can buy and sell the shares.

1(d) Mixed economy versus free enterprise economy

Explain ONE advantage and ONE disadvantage to the society in a mixed economy when compared with the society in a free enterprise (capitalist) economy. (6 marks)

(d) Advantage

Greater fairness and protection of citizens

In a mixed economy the government takes part alongside the private sector and uses taxes to provide essential services such as education, health care and pensions to all citizens, including those who cannot afford to pay for them. The government also passes laws to protect workers and consumers, which helps to share the wealth of the country more fairly. In a pure free enterprise economy, those who cannot afford private services may be left without basic care, and the gap between rich and poor tends to be much wider.

(d) Disadvantage

Higher taxes and slower decision making

To pay for the public services it provides, the government in a mixed economy must collect higher levels of tax from individuals and businesses, which leaves people with less money to spend or invest. Government-owned organisations also tend to make decisions more slowly than private firms, because they have to follow strict rules and procedures. In a free enterprise economy taxes are usually lower and private firms can react more quickly to changes in the market, which can mean a wider choice of goods and lower prices for consumers.

Question 2

2(a) Business documents and records

(i) List THREE documents utilized in the operations of a business. (3 marks); (ii) State THREE reasons why it is necessary to keep proper records of business transactions. (3 marks)

(a)(i) THREE business documents

- Invoice, which is sent by a seller to a buyer to request payment for goods or services supplied.
- Receipt, which is given by the seller to the buyer as proof that money has been paid.
- Purchase order, which is sent by a buyer to a supplier to formally request that certain goods be supplied.

(a)(ii) THREE reasons for keeping proper records

- To know exactly how much money the business is making or losing, by comparing income and expenses over time.
- To meet legal requirements such as filing tax returns and providing information to government authorities and auditors.
- To help the owners and managers make better decisions about pricing, buying stock, hiring workers and planning for the future.

2(b) Types of insurance policies

Describe EACH of the following types of insurance policies: (i) Public liability (2 marks); (ii) Employers' liability (2 marks)

Public liability

Public liability insurance is a policy that protects a business against claims made by members of the public who are injured, or whose property is damaged, as a result of the business's activities. For example, if a customer slips on a wet floor in a supermarket and breaks an arm, the policy would pay the medical bills and any compensation awarded by the court.

Employers' liability

Employers' liability insurance is a policy that protects a business against claims made by its own workers who are injured or made ill as a result of doing their jobs. For example, if a factory worker hurts his back while lifting heavy boxes, the policy would cover the worker's medical costs and any compensation that the employer is required by law to pay.

2(c) Principles of insurance

Define EACH of the following principles of insurance and state ONE example of EACH principle: (i) Insurable interest (2 marks); (ii) Indemnity (2 marks)

(c)(i) Insurable interest

Insurable interest is the principle that the person taking out the insurance must stand to suffer a real financial loss if the event being insured against actually happens. For example, a homeowner has

insurable interest in his own house and may insure it against fire, but he cannot insure his neighbour's house, because he would not lose money if it burned down.

(c)(ii) Indemnity

Indemnity is the principle that an insurance policy should put the insured person back in the same financial position they were in just before the loss happened, but no better. For example, if a car worth $80,000 is destroyed in an accident, the insurance company will pay the owner up to $80,000 to replace it, but will not pay them more than the value of the car before the accident.

2(d) Mr Cole and Raul's phone

Mr Cole has a phone that he would like to sell to his 13-year-old neighbour, Raul. He approaches Raul who is very excited about the phone and, although the phone is expensive, it is the latest in the series. Raul tells Mr Cole that he could only deposit half of the agreed price and that he would pay the balance at the end of the month, at which time Mr Cole would deliver the phone to him. Raul's mother hears of the transaction and tells Raul that he recently received a phone and so should not have agreed to purchase another one. She goes to Mr Cole and asks that he immediately return Raul's deposit. Mr Cole bluntly refuses, and insists that he had a contract with Raul and that he would sue for breach of contract if Raul did not go through with the agreement. (i) Identify the principle of contract relevant to the case above. (1 mark); (ii) Explain whether Mr Cole is likely to succeed if he sues Raul. (3 marks); (iii) Suggest TWO actions the parties could take to peacefully settle the dispute without going to the courts. (2 marks)

(d)(i) Principle of contract

The principle of contract relevant to this case is capacity to contract, which deals with whether the parties to a contract are legally able to enter into a binding agreement.

(d)(ii) Whether Mr Cole is likely to succeed

Mr Cole is not likely to succeed if he sues Raul. The law states that a person under the age of eighteen, called a minor, does not have full capacity to enter into a binding contract for goods that are not necessaries. A high-end phone is not a necessary item like food, basic clothing or medicine, but a luxury, so the contract with thirteen-year-old Raul is not enforceable against him. The court would most likely order Mr Cole to return the deposit to Raul rather than force Raul to pay the balance and accept the phone.

(d)(iii) TWO actions to settle peacefully

- The parties could try negotiation, where Mr Cole and Raul's mother sit down and talk through the situation calmly, with Mr Cole agreeing to return the deposit and Raul's mother accepting that her son acted without permission.
- The parties could use mediation, where they invite a respected, neutral person from the community to listen to both sides and to suggest a fair way to end the dispute without going to court.

Question 3

3(a) Public relations activities

Businesses engage in public relations activities to boost their image. State THREE forms of public relations activities in which businesses engage. (3 marks)

Three forms of public relations activities in which businesses engage are:

- Sponsorship of sporting events, school activities or community programmes.
- Issuing press releases and granting interviews to newspapers, radio and television stations.
- Charity work and donations, such as supporting hospitals, children's homes or disaster relief efforts.

3(b) Methods of promoting sales

Describe EACH of the following methods of promoting sales: (i) Loyalty points (2 marks); (ii) Bundling (2 marks)

Loyalty points

Loyalty points is a method of promoting sales in which customers earn a certain number of points each time they buy from the business, and these points can later be used as discounts on future purchases or exchanged for free gifts. This encourages customers to keep coming back to the same business in order to build up their points.

Bundling

Bundling is a method of promoting sales in which two or more related products are packaged and sold together at a price that is lower than the total cost of buying the items separately. For example, a fast food restaurant may offer a burger, fries and a drink as a 'combo meal' at a special price, which encourages customers to buy more items at once.

3(c) Pricing and distribution

Describe EACH of the following marketing activities: (i) Pricing (2 marks); (ii) Distribution (2 marks)

Pricing

Pricing is the marketing activity in which the business decides how much to charge customers for its goods or services. The price chosen must be high enough to cover the costs of producing and selling the product and to provide a profit, but low enough that customers are willing to pay it and that the business can compete with similar firms.

Distribution

Distribution is the marketing activity in which the business decides how its products will move from the place where they are produced to the customers who will use them. It includes choosing the channels of distribution, such as wholesalers and retailers, and arranging the transport, storage and delivery of the goods so that they reach the customer in the right place and at the right time.

3(d) Pricing strategies

Firms utilize different strategies to determine the price at which products will be sold. Complete the table below by identifying EACH pricing strategy described in Column 1. (i) Jus Cool Beverages recently introduced a new line of lemon-based soft drinks with an introductory price below that of similar products. (ii) All the bakeries in San Porto sell sugar buns at approximately the same price. (iii) The Jazz Festival charges different admission prices for students, adults and seniors. (3 marks)

(d)(i) Jus Cool Beverages

The pricing strategy used by Jus Cool Beverages is penetration pricing, where the firm sets a low introductory price on its new lemon-based soft drinks in order to attract customers away from competitors and gain a share of the market quickly.

(d)(ii) Bakeries in San Porto

The pricing strategy used by the bakeries in San Porto is going-rate pricing (also called competitive pricing), where each bakery charges a price for its sugar buns that is in line with the prices charged by other bakeries in the same market.

(d)(iii) Jazz Festival

The pricing strategy used by the Jazz Festival is price discrimination (also called differential pricing), where the same product or event is sold at different prices to different groups of customers, in this case students, adults and seniors.

3(e) Mr Genus' Extras Institute advertisement

Examine the advertisement shown in Figure 2 (an advertisement for Mr Genus' Extras Institute, offering 'Success guaranteed or money back' tutoring for the POB exam, with claims of being 'highly qualified' and having '20 years' experience'). (i) Name the type of advertising shown in Figure 2. (1 mark); (ii) State the MAIN objective of the type of advertising displayed in Figure 1. (1 mark); (iii) Identify ONE group being targeted by the advertisement. (1 mark); (iv) Suggest ONE effective communications medium that Mr Genus could use to present the advertisement to his target market. (1 mark); (v) Outline ONE reason for the communications medium suggested in (e)(iv). (2 marks)

(e)(i) Type of advertising

The type of advertising shown in Figure 2 is persuasive advertising, since it tries to convince students that signing up with Mr Genus' Extras Institute is the way to guarantee a Grade 1 in POB.

(e)(ii) MAIN objective

The main objective of persuasive advertising is to convince the target audience to take action, in this case to choose Mr Genus' Extras Institute over other tutoring options and to sign up for his classes.

(e)(iii) ONE group being targeted

One group being targeted by the advertisement is CSEC students who are preparing to sit the Principles of Business examination and who are worried about earning a Grade 1.

(e)(iv) ONE effective communications medium

Mr Genus could use social media platforms such as Instagram, TikTok or Facebook to present the advertisement to his target market.

(e)(v) ONE reason for the medium

Most secondary school students spend several hours a day on social media, so an advertisement placed there is very likely to reach his target audience cheaply and to be shared with their friends, which spreads the message even further at no extra cost.

Question 4

4(a) Roles of transportation in marketing

Outline TWO roles of transportation in the marketing of goods. (4 marks)

Moving goods from producers to consumers

Transportation makes it possible to take goods from the factories or farms where they are made and deliver them to wholesalers, retailers and final consumers, often in different parts of the country or the world. Without proper transport, goods would simply pile up where they were produced and would not reach the customers who need them, so the marketing effort would be wasted.

Creating place utility and supporting wider markets

Transportation gives goods 'place utility' by ensuring that they are available where customers want them, which adds value to the product. Reliable transport also allows a business to sell to a much wider market, including overseas customers, and to keep shelves stocked at all times, which strengthens the firm's marketing position and reputation.

4(b) Most suitable mode of transportation

Identify the MOST suitable mode of transportation for the movement of EACH of the following products: (i) Vaccines from Canada to Grenada (1 mark); (ii) Lumber from the parish of Saint Joseph to the parish of Saint George in Dominica (1 mark); (iii) Statistics on CXC results from Barbados to Saint Lucia (1 mark); (iv) Crude oil from Trinidad to Tobago (1 mark)

(b)(i) Vaccines from Canada to Grenada

Air transport is the most suitable mode, because vaccines must reach Grenada quickly and be kept at the correct temperature, and air freight is the fastest way to move goods across long international distances.

(b)(ii) Lumber from Saint Joseph to Saint George in Dominica

Road transport is the most suitable mode, because the two parishes are within the same small island and a truck can carry the heavy and bulky lumber directly from the source to the customer without the need to change vehicles.

(b)(iii) Statistics on CXC results from Barbados to Saint Lucia

Electronic transmission over the internet (such as email or a secure data link) is the most suitable mode, because the information is in digital form and needs to reach Saint Lucia almost instantly, with no physical goods to move.

(b)(iv) Crude oil from Trinidad to Tobago

Sea transport, using an oil tanker or barge, is the most suitable mode, because crude oil is a heavy bulk liquid that is best moved between the two islands by ship in large quantities at low cost.

4(c) Distribution problems and solutions

(i) State TWO problems that may be encountered in the distribution of mangoes from the Caribbean to the United States of America. (2 marks); (ii) Other than the use of global positioning systems (GPS) technology, outline TWO measures that firms could take to reduce some of the problems encountered in the distribution of goods globally. (4 marks)

(c)(i) TWO problems

- Mangoes are perishable, so any delay in shipping or at the port can cause large quantities of fruit to spoil before they are sold.
- Strict food safety and quarantine regulations imposed by the United States may cause shipments to be inspected, treated or even rejected at the border, leading to extra costs and lost time.

(c)(ii) TWO measures to reduce distribution problems

Use of refrigerated containers and proper packaging

Firms can invest in refrigerated containers, also called reefer containers, and modern packaging that controls temperature, humidity and the flow of air. This keeps perishable goods such as mangoes fresh for longer during the voyage and reduces the amount of stock lost to spoilage.

Working with experienced freight forwarders and meeting all paperwork on time

Firms can hire experienced freight forwarders or shipping agents who know the rules of each country, prepare the export documents correctly and arrange the right routes and customs clearance. This reduces the risk of shipments being held up at the port and helps the goods to reach their destination on schedule.

4(d) Queenstown Traders Inc. and GPS

Queenstown Traders Inc. provides distribution services for a wide range of imported and locally produced goods. The firm has a fleet of ten trucks and the managers want to use global positioning systems (GPS) in the management of the company's transportation. Explain TWO benefits Queenstown Traders Inc. could gain by utilizing GPS in the management of its transportation. (6 marks)

Better route planning and lower fuel costs

GPS allows the managers at Queenstown Traders Inc. to see the real-time position of all ten trucks on a map and to plan the shortest and least congested routes for each delivery. Drivers can be guided around traffic jams, road closures and bad weather, which reduces the time and fuel needed for each trip. Lower fuel and time costs increase the firm's profits and allow it to make more deliveries each day.

Improved customer service and security of goods

Because GPS shows exactly where each truck is at any moment, Queenstown Traders Inc. can give customers more accurate information about when their goods will arrive, which builds trust and improves customer service. The technology also makes it easier to recover stolen vehicles and goods, since the truck can be tracked and traced quickly, which reduces losses and lowers insurance costs.

Question 5

5(a) Financial institutions

List THREE financial institutions, other than commercial banks. (3 marks)

Three financial institutions, other than commercial banks, are:

- Credit unions, which are member-owned co-operatives that take savings from their members and lend money to them at fair rates of interest.
- Insurance companies, which collect premiums from their customers and pay out compensation when insured events such as accidents or fires occur.
- Building societies or mortgage companies, which lend money to people who want to buy or build a home, taking the property as security for the loan.

5(b) Services offered by commercial banks

List FOUR services offered by commercial banks. (4 marks)

Four services offered by commercial banks are:

- Accepting deposits from the public into savings, current and fixed deposit accounts.
- Granting loans and overdrafts to individuals and businesses for various purposes.
- Providing means of payment such as cheques, debit cards, credit cards and online transfers.
- Offering foreign exchange services, including the buying and selling of foreign currency for travel and trade.

5(c) Savings versus investments

(i) Outline ONE difference between 'savings' and 'investments'. (2 marks); (ii) Identify ONE form of savings and ONE form of investments. (2 marks)

(c)(i) ONE difference

Savings are amounts of money that have been set aside, usually in a bank account, to be used in the future for emergencies or planned spending, and they earn a small but steady rate of interest with very little risk. Investments, on the other hand, are amounts of money used to buy assets such as shares, bonds or property in the hope of earning a higher return over time, but with a greater risk of loss if the asset falls in value.

(c)(ii) ONE form of each

One form of savings is a savings account at a commercial bank or credit union, into which the saver makes regular deposits and earns interest.

One form of investments is the purchase of shares (stocks) on the local stock exchange, which makes the buyer a part owner of a company and entitles them to dividends and possible capital gains.

5(d) Personal sources of capital

List THREE personal sources of capital that may be used to start a business. (3 marks)

Three personal sources of capital that may be used to start a business are:

- Personal savings that the owner has built up over time from wages, salaries or earlier business ventures.
- Money received as gifts or interest-free loans from close family members and friends who want to support the new business.
- Money received from the sale of personal assets such as a car, jewellery or land that the owner already owns.

5(e) The Banks family budget

The Banks family is struggling financially. A close family friend advises the family to consider preparing a personal budget. Explain TWO benefits that the Banks family could gain from preparing a personal budget. (6 marks)

Better control of spending and reduction of waste

By writing down their expected income and listing all their planned expenses for the month, the Banks family will be able to see clearly where their money is going. This makes it easier to spot areas where they are spending too much, such as eating out, cable television or impulse buys, and to cut back on items that are not really needed. Tighter control of spending should help the family to live within its means and avoid getting deeper into debt.

Ability to plan for savings, debt repayment and future goals

A personal budget helps the Banks family to set aside a portion of each month's income for savings, for paying off existing loans and credit card balances, and for working towards goals such as a new fridge, school fees or a small home repair. By spreading these goals across several months and matching them to the family's income, the budget reduces stress and gives the family a clearer plan for moving from financial struggle to greater stability.